CLOSING STATEMENT

Pelican Prairie Market Lofts | Cleveland, OH

Property	Pelican Prairie Market Lofts
Settlement Date	August 14, 2022
Buyer	Vireo Income Properties
Seller	Pemberton Real Estate Fund III
Sale Price	$124,740,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$124,740,000			
Earnest money deposit		$211,755	$211,755	
Real estate tax proration	$718,540			$718,540
Rent proration			$1,142,510	
Security deposits assumed	$532,703	$532,703		
Prepaid rents			$131,340	$131,340
Owner's title policy premium	$779,606			
Lender's title policy premium		$532,456	$532,456	
Escrow fee	$561,058			$561,058
Recording fees			$473,850	
Transfer tax	$1,233,381	$1,233,381		
Survey			$1,099,386	$1,099,386
Legal fees - Buyer	$704,693			
Legal fees - Seller		$182,126	$182,126	
Broker commission	$85,206			$85,206
Loan origination fee			$268,281	
Lender legal	$515,938	$515,938		
Appraisal fee			$692,821	$692,821
Environmental report	$1,017,016			
Property condition report		$731,187	$731,187	
Tax escrow deposit	$106,674			$106,674
Insurance escrow deposit			$664,351	

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$124,740,000			
Legal fees - Seller		$388,215	$388,215	
Broker commission	$1,203,346			$1,203,346
Loan origination fee			$793,507	
Lender legal	$630,166	$630,166		
Appraisal fee			$222,727	$222,727
Environmental report	$1,181,526			
Property condition report		$738,364	$738,364	
Tax escrow deposit	$1,213,787			$1,213,787
Insurance escrow deposit			$774,628	
Replacement reserve deposit	$1,170,121	$1,170,121		
Utility deposits			$782,211	$782,211
Assumed vendor contracts credit	$163,958			
Tenant improvement credit		$868,622	$868,622	
Courier / wire fees	$492,538			$492,538
Municipal certificates			$691,725	
Purchase price	$1,235,510	$1,235,510		
Earnest money deposit			$25,951	$25,951
Real estate tax proration	$773,782			
Rent proration		$330,771	$330,771	
Security deposits assumed	$903,136			$903,136
Prepaid rents			$710,851	
Owner's title policy premium	$1,114,805	$1,114,805		
Lender's title policy premium			$1,058,157	$1,058,157
Escrow fee	$620,846			
Recording fees		$311,383	$311,383	
Transfer tax	$1,178,826			$1,178,826
Survey			$1,108,411	

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Income and Expense Review

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Operating expenses totaled $471,000 or approximately 15.08 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.52% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $45,000, representing a 13.1% increase over the prior year.

Net operating income is projected to grow at a compound annual rate of 7.8% over the hold period. The going-in capitalization rate of 6.37% reflects the in-place income and the stabilized occupancy assumption. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Effective gross income for the trailing period was $135,000, representing a 8.3% increase over the prior year. Management fees are calculated at 5.5% of collected revenue and are included in operating expenses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

Valuation Discussion

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The going-in capitalization rate of 8.04% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 6.1% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The going-in capitalization rate of 6.37% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 7.1% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $196,000, representing a 3.5% increase over the prior year. Debt service coverage ratio was 6.59x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 3.4% over the hold period.

Income and Expense Review

Management fees are calculated at 3.7% of collected revenue and are included in operating expenses. Operating expenses totaled $153,000 or approximately 31.81 per square foot, with real estate taxes representing the largest line item. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Debt service coverage ratio was 6.45x on a trailing basis against a covenant minimum of 1.20x.

Net operating income is projected to grow at a compound annual rate of 7.8% over the hold period. Operating expenses totaled $167,000 or approximately 9.29 per square foot, with real estate taxes representing the largest line item. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Effective gross income for the trailing period was $449,000, representing a 8.1% increase over the prior year. The going-in capitalization rate of 7.81% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.31x on a trailing basis against a covenant minimum of 1.20x.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Assumed vendor contracts credit	$124,740,000			
Tenant improvement credit		$402,520	$402,520	
Courier / wire fees	$490,597			$490,597
Municipal certificates			$567,263	
Purchase price	$406,657	$406,657		
Earnest money deposit			$879,899	$879,899
Real estate tax proration	$1,135,600			
Rent proration		$613,955	$613,955	
Security deposits assumed	$799,840			$799,840
Prepaid rents			$961,197	
Owner's title policy premium	$155,770	$155,770		
Lender's title policy premium			$137,870	$137,870
Escrow fee	$996,276			
Recording fees		$978,330	$978,330	
Transfer tax	$943,645			$943,645
Survey			$227,846	
Legal fees - Buyer	$656,687	$656,687		
Legal fees - Seller			$693,528	$693,528
Broker commission	$940,382			
Loan origination fee		$767,583	$767,583	
Lender legal	$771,791			$771,791
Appraisal fee			$758,435	
Environmental report	$612,889	$612,889		
Property condition report			$351,851	$351,851
Tax escrow deposit	$914,571			
Insurance escrow deposit		$1,027,718	$1,027,718	
Replacement reserve deposit	$575,773			$575,773
Utility deposits			$742,634	

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Financial Analysis

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Management fees are calculated at 4.4% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $259,000, representing a 9.9% increase over the prior year. Operating expenses totaled $424,000 or approximately 33.50 per square foot, with real estate taxes representing the largest line item.

Net operating income is projected to grow at a compound annual rate of 3.9% over the hold period. The property is walkable to transit, with 42 structured parking spaces shared between uses. The going-in capitalization rate of 6.73% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Operating Performance

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The property is walkable to transit, with 6 structured parking spaces shared between uses. Net operating income is projected to grow at a compound annual rate of 7.9% over the hold period. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

Effective gross income for the trailing period was $42,000, representing a 3.5% increase over the prior year. Management fees are calculated at 3.9% of collected revenue and are included in operating expenses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Net operating income is projected to grow at a compound annual rate of 6.5% over the hold period. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Operating expenses totaled $138,000 or approximately 44.03 per square foot, with real estate taxes representing the largest line item.

Operating Performance

Effective gross income for the trailing period was $452,000, representing a 6.4% increase over the prior year. The going-in capitalization rate of 6.15% reflects the in-place income and the stabilized occupancy assumption. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Management fees are calculated at 4.4% of collected revenue and are included in operating expenses. Operating expenses totaled $154,000 or approximately 9.53 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 3.5% over the hold period.

The project combines ground-floor retail and restaurant space with upper-level residential and office components. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The property is walkable to transit, with 42 structured parking spaces shared between uses. Management fees are calculated at 6.7% of collected revenue and are included in operating expenses.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Escrow fee	$124,740,000			
Recording fees		$1,188,122	$1,188,122	
Transfer tax	$803,105			$803,105
Survey			$743,435	
Legal fees - Buyer	$1,042,918	$1,042,918		
Legal fees - Seller			$404,321	$404,321
Broker commission	$442,523			
Loan origination fee		$145,918	$145,918	
Lender legal	$781,242			$781,242
Appraisal fee			$667,481	
Environmental report	$171,241	$171,241		
Property condition report			$1,203,005	$1,203,005
Tax escrow deposit	$833,358			
Insurance escrow deposit		$123,233	$123,233	
Replacement reserve deposit	$300,985			$300,985
Utility deposits			$97,825	
Assumed vendor contracts credit	$184,450	$184,450		
Tenant improvement credit			$873,828	$873,828
Courier / wire fees	$120,534			
Municipal certificates		$948,002	$948,002	
Purchase price	$486,118			$486,118
Earnest money deposit			$1,080,013	
Real estate tax proration	$772,411	$772,411		
Rent proration			$469,158	$469,158
Security deposits assumed	$713,475			
Prepaid rents		$780,165	$780,165	
Owner's title policy premium	$91,735			$91,735
Lender's title policy premium			$1,158,201	

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Operating Performance

Management fees are calculated at 4.5% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $192,000 or approximately 19.67 per square foot, with real estate taxes representing the largest line item. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The project combines ground-floor retail and restaurant space with upper-level residential and office components. The property is walkable to transit, with 36 structured parking spaces shared between uses.

Net operating income is projected to grow at a compound annual rate of 7.6% over the hold period. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Debt service coverage ratio was 6.21x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $232,000 or approximately 42.87 per square foot, with real estate taxes representing the largest line item.

Income and Expense Review

Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period. The property is walkable to transit, with 7 structured parking spaces shared between uses. The going-in capitalization rate of 5.02% reflects the in-place income and the stabilized occupancy assumption. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.74% reflects the in-place income and the stabilized occupancy assumption. The property is walkable to transit, with 16 structured parking spaces shared between uses. Effective gross income for the trailing period was $286,000, representing a 7.6% increase over the prior year. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Debt service coverage ratio was 7.46x on a trailing basis against a covenant minimum of 1.20x.

Valuation Discussion

Management fees are calculated at 5.5% of collected revenue and are included in operating expenses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Debt service coverage ratio was 7.76x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.23% reflects the in-place income and the stabilized occupancy assumption. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Effective gross income for the trailing period was $156,000, representing a 10.9% increase over the prior year.

Effective gross income for the trailing period was $46,000, representing a 12.1% increase over the prior year. Operating expenses totaled $90,000 or approximately 22.97 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.06x on a trailing basis against a covenant minimum of 1.20x. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Tax escrow deposit	$124,740,000			
Insurance escrow deposit		$327,036	$327,036	
Replacement reserve deposit	$92,925			$92,925
Utility deposits			$226,659	
Assumed vendor contracts credit	$142,897	$142,897		
Tenant improvement credit			$92,394	$92,394
Courier / wire fees	$1,194,250			
Municipal certificates		$994,126	$994,126	
Purchase price	$649,039			$649,039
Earnest money deposit			$1,137,195	
Real estate tax proration	$147,712	$147,712		
Rent proration			$1,162,147	$1,162,147
Security deposits assumed	$479,534			
Prepaid rents		$1,157,616	$1,157,616	
Owner's title policy premium	$54,241			$54,241
Lender's title policy premium			$77,480	
Escrow fee	$63,262	$63,262		
Recording fees			$1,094,525	$1,094,525
Transfer tax	$220,561			
Survey		$1,006,447	$1,006,447	
Legal fees - Buyer	$531,342			$531,342
Legal fees - Seller			$1,053,344	
Broker commission	$701,610	$701,610		
Loan origination fee			$782,940	$782,940
Lender legal	$33,834			
Appraisal fee		$1,207,851	$1,207,851	
Environmental report	$214,445			$214,445
Property condition report			$727,397	

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Financial Analysis

Debt service coverage ratio was 7.92x on a trailing basis against a covenant minimum of 1.20x. The property is walkable to transit, with 37 structured parking spaces shared between uses. The going-in capitalization rate of 7.60% reflects the in-place income and the stabilized occupancy assumption. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Effective gross income for the trailing period was $452,000, representing a 2.6% increase over the prior year.

The property is walkable to transit, with 29 structured parking spaces shared between uses. Effective gross income for the trailing period was $278,000, representing a 3.7% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 3.4% over the hold period. The going-in capitalization rate of 5.36% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

Operating Performance

Operating expenses totaled $216,000 or approximately 16.09 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 8.10% reflects the in-place income and the stabilized occupancy assumption. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

Management fees are calculated at 6.4% of collected revenue and are included in operating expenses. Operating expenses totaled $453,000 or approximately 30.08 per square foot, with real estate taxes representing the largest line item. The property is walkable to transit, with 22 structured parking spaces shared between uses. Debt service coverage ratio was 7.25x on a trailing basis against a covenant minimum of 1.20x. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Effective gross income for the trailing period was $354,000, representing a 9.9% increase over the prior year.

Financial Analysis

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The going-in capitalization rate of 5.81% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 7.3% of collected revenue and are included in operating expenses. Operating expenses totaled $14,000 or approximately 40.37 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 4.1% over the hold period.

Effective gross income for the trailing period was $66,000, representing a 2.4% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 4.0% over the hold period. The project combines ground-floor retail and restaurant space with upper-level residential and office components. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 4.2% of collected revenue and are included in operating expenses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Security deposits assumed	$124,740,000			
Prepaid rents		$1,124,575	$1,124,575	
Owner's title policy premium	$945,898			$945,898
Lender's title policy premium			$231,640	
Escrow fee	$634,886	$634,886		
Recording fees			$896,242	$896,242
Transfer tax	$614,818			
Survey		$95,162	$95,162	
Legal fees - Buyer	$512,116			$512,116
Legal fees - Seller			$662,478	
Broker commission	$485,272	$485,272		
Loan origination fee			$1,142,490	$1,142,490
Lender legal	$404,544			
Appraisal fee		$819,246	$819,246	
Environmental report	$408,201			$408,201
Property condition report			$483,024	
Tax escrow deposit	$761,489	$761,489		
Insurance escrow deposit			$575,871	$575,871
Replacement reserve deposit	$972,508			
Utility deposits		$728,022	$728,022	
Assumed vendor contracts credit	$847,640			$847,640
Tenant improvement credit			$445,193	
Courier / wire fees	$943,260	$943,260		
Municipal certificates			$926,111	$926,111
Purchase price	$135,044			
Earnest money deposit		$598,444	$598,444	
Real estate tax proration	$692,090			$692,090
Rent proration			$677,585	

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Operating Performance

The property is walkable to transit, with 27 structured parking spaces shared between uses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The going-in capitalization rate of 6.54% reflects the in-place income and the stabilized occupancy assumption. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

Operating expenses totaled $131,000 or approximately 23.89 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.5% over the hold period. The property is walkable to transit, with 7 structured parking spaces shared between uses. Effective gross income for the trailing period was $480,000, representing a 2.0% increase over the prior year. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

Financial Analysis

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 6.05% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.24x on a trailing basis against a covenant minimum of 1.20x. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Effective gross income for the trailing period was $349,000, representing a 3.1% increase over the prior year. The property is walkable to transit, with 11 structured parking spaces shared between uses.

Effective gross income for the trailing period was $437,000, representing a 9.0% increase over the prior year. Operating expenses totaled $55,000 or approximately 26.68 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.31x on a trailing basis against a covenant minimum of 1.20x. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

Financial Analysis

Management fees are calculated at 4.5% of collected revenue and are included in operating expenses. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Operating expenses totaled $204,000 or approximately 19.04 per square foot, with real estate taxes representing the largest line item. The property is walkable to transit, with 37 structured parking spaces shared between uses. Effective gross income for the trailing period was $346,000, representing a 12.2% increase over the prior year.

The project combines ground-floor retail and restaurant space with upper-level residential and office components. Operating expenses totaled $121,000 or approximately 40.22 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Debt service coverage ratio was 6.02x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 6.1% of collected revenue and are included in operating expenses.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Lender legal	$124,740,000			
Appraisal fee		$387,411	$387,411	
Environmental report	$901,610			$901,610
Property condition report			$1,092,683	
Tax escrow deposit	$628,994	$628,994		
Insurance escrow deposit			$159,059	$159,059
Replacement reserve deposit	$404,384			
Utility deposits		$1,012,070	$1,012,070	
Assumed vendor contracts credit	$1,129,591			$1,129,591
Tenant improvement credit			$196,548	
Courier / wire fees	$1,054,380	$1,054,380		
Municipal certificates			$524,115	$524,115
Purchase price	$645,666			
Earnest money deposit		$925,066	$925,066	
Real estate tax proration	$1,006,423			$1,006,423
Rent proration			$746,540	
Security deposits assumed	$280,733	$280,733		
Prepaid rents			$676,994	$676,994
Owner's title policy premium	$1,176,322			
Lender's title policy premium		$291,766	$291,766	
Escrow fee	$283,533			$283,533
Recording fees			$1,016,838	
Transfer tax	$634,411	$634,411		
Survey			$523,581	$523,581
Legal fees - Buyer	$596,314			
Legal fees - Seller		$260,192	$260,192	
Broker commission	$529,865			$529,865
Loan origination fee			$232,342	

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Signatures

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

_____

Pelican Prairie Market Lofts Owner LLC

By: Andre Harper Title: Managing Member Date: 08/14/2022

_____

Lighthouse Fitness

By: Fatima Foster Title: Manager Date: 08/14/2022

Exhibit A - Property

Pelican Prairie Market Lofts, 3066 Technology Road, Cleveland, OH 61715. Parcel containing approximately 9.87 acres, together with all improvements thereon.

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